

EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE – 89



**INDIAN
ECONOMY - 19**

General character of the management of the bank is prejudicial to the interest of depositors as also thus public interest, as per RBI.



RBI CANCELLED THE BANKING LICENCE OF PAYTM PAYMENTS BANK

- The RBI has cancelled the banking licence of Paytm Payments Bank, citing that the conduct of founder Vijay Shekhar Sharma and the entity owned by One 97 Communications Limited was detrimental to depositors' interests.
- The action was taken under Section 22(4) of the Banking Regulation Act, 1949. It is effective from the close of business on April 24, 2026.
- In fact, the bank was not allowed to onboard new customers since 2022 and was barred from deposit or credit transactions two years ago.
- As per RBI, “the affairs of the bank were conducted in a manner detrimental to the interest of the bank and its depositors”.



FINO PAYMENTS BANK GOT IN-PRINCIPLE APPROVAL FOR CONVERSION TO SFB

- Fino Payments Bank has announced that it has received the Reserve Bank of India's in-principle approval to convert into a Small Finance Bank (SFB).
- As per the norms, existing payments banks, which are controlled by residents and have completed five years of operations are eligible for conversion into SFBs.
- Earlier 2025, the RBI granted in-principle approval to AU-SFB to convert into a Universal Bank.





- Differentiated banks are the banks that cater to a specific segment of customers. The concept was introduced by the RBI in 2013, based on the recommendations of the Nachiket Mor Committee.
- They differ from Universal Banks on account of capital requirement, the scope of activities, or the area of operations. Differentiated banks do not offer all financial products. They offer a limited range of services and products.
- Unlike Universal Banks, differentiated banks are infused as Niche Banks that typically target a specific market and tailor the bank's operations to the market preferences of their Niche segment.



- They cannot lend money, they can accept deposits up to Rs. 2 lakh per customer. Credit cards issue is not allowed.
- Customers can open either a savings or a current account and apply for a debit card or internet banking service.
- The objective is to further financial inclusion by providing small savings accounts and payments/remittance services to migrant labour workforce, low-income households, small businesses, etc.,
- They cannot accept NRI deposits. These are registered under the Companies Act, 2013 and licensed under the Banking Regulation Act, 1949.
- Present payments banks in India are:
 - ✓ Fino Payments Bank.
 - ✓ NSDL Payments Bank.
 - ✓ India Post Payments Bank.
 - ✓ Paytm Payments Bank.
 - ✓ Airtel Payments Bank.
 - ✓ Jio Payments Bank.



- Provide credit access to underserved sections like small businesses, farmers, etc.
 - Can lend money and offer full credit services.
 - Can accept all types of deposits.
 - These are registered as public limited companies under the Companies Act, 2013, licensed under the Banking Regulation Act, 1949, regulated by the RBI Act, 1934.
 - They must maintain a minimum CRAR of 15%.
 - At least 25% branches should be in rural areas.
 - 60% of the total loans must be to priority sectors.
 - 50% of the loans and advances must be up to Rs. 25 lakh.
- Examples are:



- ✓ AU Small Finance Bank.
- ✓ Ujjivan Small Finance Bank.
- ✓ Suryoday Small Finance Bank.
- ✓ Equitas Small Finance Bank.

NEW RULES PERTAINING TO THE PRIORITY SECTOR LENDING (PSL) TARGET FOR SMALL FINANCE BANKS (SFBS)



- The Reserve Bank of India (RBI) has proposed a significant relaxation in its rules covering Small Finance Banks (SFBs).
- Beginning 2025-26, SFBs will be required to meet a Priority Sector Lending (PSL) target of only 60% compared to the 75% in place until 2024-25.
- As with other classes of banks, small finance banks must continue to extend 40% of their net credit to agriculture, micro enterprises, weaker sections, affordable housing, renewables and other designated priority sectors. Earlier they were required to earmark an additional 35% towards any of these segments - this has now been reduced to 20%.

SFBs account for less than 5% of outstanding priority sector credit from Scheduled Commercial Banks.

WHY DO SMALL FINANCE BANKS WANT TO CONVERT TO UNIVERSAL BANKS?



- SFBs are required to deploy at least 60% of their loan books towards priority sector credit, while Universal Banks have only a 40% obligation.
- SFBs need to extend 50% of their loans to small-ticket customers borrowing up to Rs. 25 lakh, while Universal Banks have no such requirement.
- SFBs are also required to maintain a higher capital adequacy ratio of 15% against 11.5% for commercial banks.
- Moreover, SFBs believe that the small tag makes depositors wary of parking large sums with them, pegging up their cost of funds.

WHAT ARE THE GUIDELINES ISSUED FOR CONVERSION FROM SMALL FINANCE BANKS TO UNIVERSAL BANKS?



- SFBs will need to have a scheduled status, a five-year track record and be listed on stock exchanges.
- They must be profitable for the previous two years, meet a Rs. 1,000 crore net worth norm and maintain capital adequacy ratio of 15%.
- There is also requirement of Gross and Net NPA ratios below 3% and 1%, respectively, in the last two years.
- There is also stipulation that SFBs must demonstrate diversified loan books.



- First batch of Regional Rural Banks (RRBs) were established in 1975. The idea was to establish regionally focused Banks, familiar with local issues, to extend banking services to rural areas.
- RRBs are owned jointly by the Government of India, the state government concerned, and the sponsoring commercial bank with an equity holding of 50, 15 and 35%, respectively.
- RBI regulates them, and the NABARD supervises them.
- To the agricultural sector credit, they contribute just around 11-12%. One State-One RRB was introduced during 2025.



- By exercising the powers under the Regional Rural Banks Act, 1976, the Central Government has restructured the Regional Rural Banks architecture. There will be single Regional Rural Bank in any state.
- In fact, the Central Government initiated structural consolidation of RRBs in FY2004-05, which resulted in a reduction in the number of RRBs from 196 in the FY2004-05 to 43 by FY2020-21. Now, after consultation with stakeholders, amalgamation of 26 RRBs in 10 States and 1 UT have been carried out.
- Post amalgamation, there will be 28 RRBs in 26 States and two UTs with more than 22,000 branches covering 700 districts.

RBI'S PROMPT CORRECTIVE ACTION (PCA) FRAMEWORK FOR URBAN COOPERATIVE BANKS (UCBS)



- Around 500 weak Urban Cooperative Banks (UCBs), which are currently under the Reserve Bank of India's Supervisory Action Framework (SAF) have transitioned to the Prompt Corrective Action (PCA) framework for remedial action with effect from April 1, 2025.
- The Central Bank's PCA framework will replace the SAF for financially unsound and poorly managed UCBs from April 1.
- The SAF for weak UCBs, which was introduced in 2012 envisages, in the initial stage of deterioration in the financial position, self corrective action by their management first and the supervisory action by the RBI in case the financial position of the bank does not improve.



- The Reserve Bank of India has identified SBI, HDFC Bank, and ICICI Bank as Domestic Systemically Important Banks (D-SIBs) in its 2025 list.
- This classification is from 2015 and announced every year. The present update is based on the data collected from banks as on March 31, 2025.
- The RBI had announced SBI and ICICI Bank as D-SIBs in 2015 and 2016, while HDFC Bank was classified as D-SIB in 2017, along with SBI and ICICI Bank.
- The additional Common Equity Tier 1 (CET1) requirement as a percentage of risk-weighted assets is set at 0.8% for SBI, 0.4% for HDFC Bank, and 0.2% for ICICI Bank.

WHAT DO YOU KNOW ABOUT GLOBAL SYSTEMICALLY IMPORTANT BANKS (G-SIBs)?



- The Financial Stability Board, in consultation with the Basel Committee on Banking Supervision (BCBS) and the national authorities has identified 2025 list of Global Systemically Important Banks (G-SIBs) on 27 November 2025. This is as per a methodology agreed upon in July 2018.
- There are 29 G-SIBs in 2025, same as 2024. These include:
 - ✓ JPMorgan Chase
 - ✓ Bank of America.
 - ✓ Citigroup.
 - ✓ HSBC.
 - ✓ Industrial and Commercial Bank of China.
- These have to maintain additional capital adequacy ratios ranging from 1% to 2.5%.
- Financial Stability Board (FSB) is an international body that monitors and makes recommendations about the global financial system. The decisions of FSB are not legally binding on its members, which are taken by consensus.



- The FSB is established as a not-for-profit association under the Swiss law and is hosted by the BIS under a five-year renewable service agreement.
- The plenary is the sole decision-making body of the FSB. It consists of representatives of all members and is currently composed of 59 representatives from 25 jurisdictions.
- It periodically reports its progress to the Heads of State and Governments and the Finance Ministers and the Central Bank Governors of the G20.
- The members from India, include:
 - ✓ Secretary, Economic Affairs, Ministry of Finance.
 - ✓ Deputy Governor, Reserve Bank of India.
 - ✓ Chairman, Securities and Exchange Board of India.



- As per the IMF's latest World Economic Outlook, India has slipped to sixth place in the world GDP rankings, with Japan and the UK overtaking it in terms of nominal GDP in current US dollars.
- Under the new methodology (with base year 2022-23) the government has made several methodological changes and incorporated newer data sources. The new GDP estimates released in February end 2026 provide a more accurate picture of the economy. It also found that the outgoing series was overestimating India's GDP by around 3 to 4% - for example in 2025-26, India's GDP was reassessed from being Rs. 357 trillion to Rs. 345 trillion.
- Since the IMF compares economies in US dollar terms, the exchange rate of any domestic currency vis-a-vis the US dollar becomes a crucial factor. Over the past year, Indian rupee has weakened by almost 10% against the US dollar. It has happened during a period when the US dollar itself has actually weakened against most other major currencies. The net effect has been that when calculated in dollar terms, India's GDP, already pegged down in rupee terms, falls behind that of Japan and the UK.

What do you know about the statistics of exports and imports in FY26?



Trade data

		2024-25	2025-26	% change
		(\$ billion)		
Merchandise	Export	437.7	441.78	0.9
	Import	721.2	774.98	7.5
Services*	Export	387.55	418.31	7.9
	Import	198.72	204.42	2.9
Total	Export	825.26	860.09	4.2
	Import	919.92	979.4	6.5
Trade deficit		94.66	119.3	26.0



- Recently, International Monetary Fund (IMF) released Fiscal Monitor. Global gross public debt increased to about 94% of GDP in 2025. Projections suggest it will reach 100% by 2029, a level last seen in the aftermath of the Second World War.
- As per IMF data, governments refinancing debt at higher interest rates have seen interest payments rise sharply over the past few years from 2% to about 3% of the global GDP. This 1% increase means the governments would spend less on areas relating to growth and development, which could affect long-term growth potential. .

The United States, for example, is running a general government budget deficit worth 7 to 8% of GDP. The average of this is 3.8% over the past 50 years in USA.



General insurance penetration in 2023 in India was relatively low at 1% of GDP as against a global average of 4.2%.

SABKA BIMA SABKI RAKSHA (AMENDMENT OF INSURANCE LAWS) BILL, 2025

- The Bill has amended three statutes:
 - ✓ The Insurance Act, 1938.
 - ✓ The Life Insurance Corporation Act, 1956.
 - ✓ The Insurance Regulatory and Development Authority Act, 1999.
- The amendments to the LIC Act empower its board to take operational decisions such as branch expansion and recruitment.
- The Bill raised the FDI limit in insurance companies from 74% to 100%. This enables complete foreign ownership. It is expected to help attract more capital and global expertise while boosting insurance coverage in the country. The requirement of net owned funds for foreign reinsurers was reduced from Rs. 5,000 crore to Rs. 1,000 crore.
- The Bill empowers the IRDAI to issue sector specific licenses allowing insurers to operate in single or niche lines of business such as cyber, property or marine insurance.



- In the year 2000, insurance sector was opened to private players with a 26% FDI cap. The limit was raised to 49% in 2014 and further to 74% in 2021.

- The legislation marks a shift from detailed statutory prescriptions to a regulation-driven framework under which several operational norms will be set by IRDAI through regulations.
- IRDAI can order searches, seizures, and inspections of insurers, investigate intermediaries, and order disgorgement of wrongful gains made by insurers or intermediaries, like SEBI does.
- It can levy penalties of up to Rs. 10 crore on insurers and fix regulatory caps on commissions to agents.
- It can also supersede the board of an insurer and appoint an administrator to protect policyholder interests.
- Key parameters such as minimum capital requirements, solvency margins, and investment norms significantly expands IRDAI's role.
- A one-time registration of insurance intermediaries and a fund for policyholders' education and protection are part of the Bill.

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